

New Business Models



New business models constantly coming up in the industry leads to disruptive forces in the industry. Hence, established firms lose market share to newer firms.

- New business models make the older ones obsolete, thus causing changes in market share.
- Another common factor is the ease of financing available around the industry.
- **Industries that are 'hot' and 'favourite' currently attract a lot of new capital.** Large amounts of capital for new firms allow them to do things at scale, thus taking away the advantage of the scale of existing firms.

This causes some shift in the market share from existing to new firms.

Lowering of Entry Barriers and Switching Costs

Industries facing value migration see new winners emerging and established players losing market share. Two factors that contribute to this and reduce industry stability are :

• Lowering of Entry Barriers

As entry barriers reduce, new firms with innovative value propositions and business models can join the industry and challenge the established players in the industry.

• Lowering Switching Costs

Also lowering switching costs for the customers can allow them to look for competitors' products, thus causing shifts in the market share in the industry.



"New winner" in Automobile Industry in India.



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Companies that lost market share